

RDW pitch deck

PITCH — RDW — VERDICT

FLAT — no position, no order, no entry band. PROPOSED — PENDING ADJUDICATION.

Both benches independently landed on “no trade” (each at 8/10 conviction); the bull case that opened this file rested on an arithmetic error that the company’s own segment table refutes, and the one real variant view we found points *down*, where we are barred from acting.

What we believe

Redwire is a space-hardware company that bought a drone company (Edge Autonomy, closed 2025-06-13) and is now two businesses stapled together. Our belief, stated plainly:

- 1. The original space business is not growing, and it already shrank hard.** Space revenue fell from \$255.3M in FY24 to \$209.8M in FY25 — down 17.8%. The first half of 2026 was \$107.9M against \$108.8M a year earlier: flat. So 2026 is stabilization at a collapsed base, not a recovery.
- 2. The record backlog is a drone story, not a space story.** At 6/30/26, Space backlog went \$299.8M → \$321.9M on \$107.9M of revenue (booking 1.20x of what it billed). Defense Tech went \$111.4M → \$220.2M on \$106.2M (2.02x). Total backlog of \$542.1M is genuinely a record and genuinely growing — but the growth is in the acquired drone unit.
- 3. Neither segment makes money.** For FY25, Space earned \$4.9M of adjusted EBITDA on \$209.8M of revenue — a 2.3% margin. Defense Tech lost \$10.9M. And “adjusted” is doing heavy lifting: Q2’26 GAAP net loss was \$41.0M against adjusted EBITDA of negative \$3.2M, a \$37.7M gap in a single quarter. FY25: \$226.6M GAAP loss vs \$50.3M adjusted loss.
- 4. The price already assumes the step-up.** At \$11.68 with 249,992,609 shares out and \$509.7M of net cash, enterprise value is roughly \$2.41B — about 5.1x consensus 2026 revenue for a business with roughly zero segment-level profit. And it is 140% above its 52-week low of \$4.88 (though 56% below the \$26.63 high). This is a giveback of a triple, not a broken security.
- 5. Our own revenue number is slightly below the street’s, with a reason.** Street is \$468.8M. Adding run-rate to backlog conversion we get \$446–465M, call it \$455M — about 3% light. The mechanism: to hit the street, Space has to step above a ~\$54M/quarter plateau it has not exceeded in six quarters.

None of that is a long. It is also not a short we are permitted to take (see below). So: nothing.

What the market believes

The market believes the 2026 guide of \$450–500M is achievable and roughly correctly set. Consensus sits at \$468.8M — essentially the midpoint of management’s own range, which implies second-half

revenue of about \$255M and a Q3 of roughly \$120–125M against \$103.4M last year.

Under the hood, the market is buying three things: a record \$542M backlog, a genuine defense/drone demand cycle, and a balance sheet that went from \$52.3M of cash (9/30/25) to \$557.7M (6/30/26). It is looking past GAAP losses on the view that percentage-of-completion space programs mature and margins normalize.

The market is not obviously wrong about any of that. The stock is a battleground name with heavy retail participation, so price is also partly a sentiment instrument rather than a discounted-cash-flow instrument.

Why we might have edge

Honestly: our edge in this file was **disconfirming**, not finding a trade. Three specific things we know that are not published anywhere we can find:

- **We derived Q3'25 space-segment revenue, which the company never disclosed.** The Q3'25 press release omits the segment split. But FY25 Space (\$209,817k) minus first-half (\$108,815k) minus Q4'25 (\$54,454k) = **\$46,548k**. That single number reframes the upcoming quarter: the comparison Redwire faces in Q3'26 is *easy*, not a cliff. The original file (and, initially, one of our own benches) had this backwards.
- **We reconstructed the company's revealed selling price for its own stock.** The equity note in the 10-Q discloses, per program, both shares sold and the weighted-average price achieved: \$9.38, then \$14.59 (the May 2026 \$350M program, sold out in full — 23,986,658 shares), then \$16.05 (June 2026 \$500M program, of which only \$149.6M was used, leaving **\$350.4M live**). Then shares outstanding went 249,221,102 (6/30) → 249,992,609 (8/3) — up 0.31% in five weeks. The company stopped selling when the stock broke \$16. That converts a vague “dilution overhang” into a dated price level and an on/off state.
- **We caught an acquisition artifact in our own reasoning.** A “seasonality” claim computed across the Edge close is not seasonality. See the table below — this was our error, not someone else's.

The general edge claim: segment-level and equity-note-level arithmetic on primary filings, done consistently, produces numbers the sell-side aggregate does not carry. That is real but modest. It did not produce a position here.

Why it might be priced in

Strongly, and we should say so:

- **Almost everything we “found” is in the company's own press release table.** Our second bench downgraded two findings that the first bench labeled novel — the flat space line and the earnings-adjustment risk — to consensus, because management itself described the FY25

losses as driven by “substantial negative impact from EAC adjustments... largely related to programs in the development stage,” and trade press covered it in February.

- **Eight analysts cover it and sit at the guide midpoint.** Our variant is 3%. A 3% revenue difference on a name that moves 10% in a day is not a thesis.
- **The dilution is disclosed, dated, and on the tape.** Shares outstanding rose 25.3% in a single quarter (198,918,728 → 249,221,102). Nobody is unaware.
- **The balance sheet removes the distress trade.** \$557.7M cash against first-half operating cash burn of \$31.6M (improved from \$132.7M) means roughly \$48M/year of burn and no financing need. The ATM is opportunistic, not survival. So there is no forced-seller angle and no rescue-financing angle.

Net: we have no differentiated *number* large enough to trade, and the qualitative story is fully in the open.

What could go wrong

This section is the pre-mortem. Since we hold nothing, “losing money” means two distinct things: (a) missing a move we chose to skip, and (b) losing on the re-entry if our trigger fires. Both are covered.

Failure narrative 1 — We are watching the wrong segment (monitorable). Our re-entry trigger is keyed to *space* revenue. But the backlog growth, and plausibly the entire equity story, is *drones*: Defense Tech booked 2.02x its billings while Space booked 1.20x. European and US drone procurement accelerates, Edge converts \$220M of backlog at improving margin, and the stock doubles while our chosen sensor (space revenue vs \$46.5M) prints a boring in-line number and never fires. We stand aside through the whole move and then have to buy it 60% higher. *Tripwire*: Defense Tech revenue and segment backlog in the Q3’26 10-Q, plus DT segment adjusted EBITDA crossing from negative \$10.9M toward breakeven. Fully monitorable — we simply have not armed it.

Failure narrative 2 — We re-enter on a revenue step-up that is an accounting true-up (partly monitorable, with a lag). Space prints \$58M+ in Q3’26, our trigger fires, we buy — and the step-up turns out to be favorable cumulative catch-up on percentage-of-completion contracts rather than new throughput. The next quarter takes a negative true-up in the other direction. This company has a demonstrated \$37.7M-per-quarter gap between adjusted and GAAP results, and management has already attributed a prior quarter’s damage to exactly this mechanism. *Tripwire*: the adjusted-EBITDA-to-GAAP-net-loss gap, and the EAC disclosure in the 10-K. Monitorable but **backward-looking** — we would learn we were wrong one to two quarters after buying.

Failure narrative 3 — NO MONITORABLE TRIPWIRE. Redwire’s revenue increasingly comes from government and allied-defense programs, some of which are classified, foreign, or subject to export control. A program cancellation, a lost recompet, a stop-work order, an ITAR or export-licensing action, or the loss of a single large foreign ministry-of-defense customer can be entirely non-public until it surfaces as a backlog number months later — or is never separately disclosed at all, because it is netted inside a segment total. There is no filing, no press release, no dataset, and no third-

party signal we can watch. We would find out from the price. **Unknown-unknown class: opaque-counterparty program risk** — undisclosed customer and program concentration behind classified or foreign-defense contracts, where the disclosure regime itself prevents monitoring. **A second untripped class, which is ours, not the company's: unrun-detector blindness.** Eleven detectors matched this name in dispatch. *Zero were actually executed* — no shell was available, no satellite or permit or safety-record pull ran, and the broker contract-search call was permission-denied. Ten of the eleven look spurious on inspection (no consumer app, no clinical program, no facilities in the permit jurisdictions), and the one that fired — the supply-calendar detector — fired by hand-reading. But “looks spurious on inspection” is not “ran and returned nothing.” We do not know what the physical-evidence layer would have said about Edge Autonomy’s production sites.

The reflexive and structural leg.

- *Our size versus the market's:* we hold nothing, and a starter would be 0.25–0.50% of the book — call it low-to-mid seven figures against a ~\$2.9B market capitalization. **We did not measure average daily volume this session** (the capacity tool was unavailable). Given the share count, the market cap, and the heavy retail participation, a sub-1% starter is almost certainly a small fraction of a day’s volume — but that is an assumption we are stating, not a measurement we made. It must be measured before any order.
- *Predicted flow — and this is the trap:* there is **\$350.4M of live, unused at-the-market equity capacity**, roughly 12% of the current market capitalization. The company sold its previous program out completely at an average of \$14.59 and sold into the last one at \$16.05. It stopped when the stock fell. Our rule is never to bid into flow we ourselves predict. Right now the flow is *above* us — \$11.68 spot against a \$16.05 last clearing price — so the rule does not bar an entry today. **But the reflexivity is exact: the condition under which our thesis works is the condition under which the company restarts selling stock into us.** If we are right and the stock goes to \$15, we should expect the seller to reappear. Any long here is implicitly short the issuer’s own option to print equity into strength, and that option is worth roughly 12% of the cap.
- *Doctrine interactions:* (i) Our rule against shorting names with retail-momentum characteristics blocks the only view we actually hold with a mechanism — the 3% bearish gap. So our best-supported opinion is unexpressable, and “flat” is not neutrality, it is a forced abstention. (ii) Our default of taking a minimum starter out of a clean court does *not* apply, because this court is not clean: there are named, specific kills (space down 17.8% then flat, 2.3% segment margin, 5.1x sales on no profit, and a bearish variant estimate). Flat is earned here, not defaulted into. (iii) No integrity or disclosure taint was found, so no valuation haircut on that basis — we are not applying one.

If this position loses money, the most likely reason will be that we keyed our re-entry to the space segment while the company’s value was actually being set by drone backlog conversion — so we either sat out the entire move, or bought back in late, above \$14.59, at precisely the price where the company restarts selling \$350.4M of stock into our bid.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Space revenue fell 8.6% in 1H’26” (the original bull-file’s flagship number)	Pulled the Q2’26 segment results table from the company’s own release	1H’25 Space = \$108,815k; 1H’26 = \$107,859k → -0.88%, flat . The error was mechanical: someone subtracted <i>one quarter</i> of 2025 Defense Tech revenue (\$5,078k) from a <i>half-year</i> total (\$123,155k)	No — refuted. The headline claim did not exist
“Redwire is structurally second-half weighted, so the guide is easy” (our first bench’s rebuttal)	Second bench recomputed excluding the Edge acquisition, which closed 2025-06-13 (17 days in 1H’25, two full quarters in 2H’25)	The +72% half-over-half spread is an acquisition artifact. The last fully organic year, FY24, was <i>first-half</i> weighted: \$165.9M vs \$138.2M = -16.7%	No — our own bench committed the same base-period error it had just convicted the file of, one finding later
“The guide is undemanding”	Run-rate math: Q2 exit rates, Space ~\$54M/qtr + Defense Tech ~\$61.9M/qtr	≈\$232M second half versus a \$235.9M low end . The guide requires above-run-rate growth; the midpoint needs about +12%	No — reversed. Our first bench had this backwards
“There is no divergence from the street, so there is nothing to trade”	Our own rule requires publishing a competing number with a mechanism; the first bench published none	Second bench supplied it: \$455M vs \$468.8M, -3% , mechanism = Space must exceed a \$54M/qtr plateau unbroken for six quarters. A divergence exists — it is just bearish	Partly — first bench’s conclusion (no position) survived, its reasoning did not
Two findings labeled “novel” by the first bench	Second bench checked whether they were already public	Both were: the flat space line sits in the issuer’s own press-release table, and the earnings-adjustment risk was described by management in the FY25 release and covered in trade press	No — our own bench over-claimed originality on two of its four strongest points
“Space booked more than 2x and failed to convert it” (bull-file premise)	Segment backlog roll-forward, 12/31/25 → 6/30/26	Space book-to-bill 1.20x; Defense Tech 2.02x . The premise was inverted — Space is the weak booker	No — refuted
“Re-entry at Space ≥\$60M versus a ~\$56M base”	First bench: the Q3’25 release discloses no segment split, so the benchmark is unsourced and the trigger unfalsifiable	Correct that the release omits it — but the FY25 segment table makes it derivable: \$209,817k – \$108,815k – \$54,454k = \$46,548k . So the trigger <i>is</i> sourceable, and the true base is \$10M lower than claimed	Partly — first bench right that the number was unsourced, wrong that it was unsourceable
Dilution overhang “about \$260M”	10-Q equity note, read directly	“\$350.4 million of unused capacity under the June 2026 ATM Facility as of June 30, 2026.” 35% larger than assumed	No — worse than stated
“Share count went 89.5M → 249.9M”	Checked the basis of each figure	Mixes weighted-average diluted with period-end outstanding. Like-for-like: weighted-average diluted 89.55M → 220,466,669 (+146%); outstanding 198,918,728 → 249,221,102 (+ 25.3% in one quarter). Dilution is real and severe; the specific number quoted was not	Partly — right conclusion, wrong arithmetic

Claim	How checked	Found	Confirmed?
Machine-built evidence pack's own share and revenue series	Both benches independently checked	Pack's diluted-share figure is weighted-average, not outstanding; pack's revenue series ends 2025-06-30 and predates the acquisition. Both benches superseded the pack	No — the pack itself was stale on two fields
Valuation “about 4.9x sales”	Recomputed: 249,992,609 × \$11.68 = \$2.92B cap; net cash \$557,718k – \$48,061k = \$509.7M	EV ≈ \$2.41B ÷ \$468.8M street = 5.14x (5.30x on our own \$455M). And that is a <i>floor</i> — it excludes the Edge earnout liability, whose size we could not find	No — understated
Size of the Edge Autonomy earnout liability	Searched the 10-Q excerpt available to us	Not found. Carried as a Level-3 fair-value liability; magnitude not in scope	Unverified — logged
Next earnings date, 2026-11-04	Checked for a company press release naming it	None. Date is data-vendor-derived with a conflicting 11/11. Historical filing dates: Q3'25 on 2025-11-06, Q3'24 on 2024-11-07	Unconfirmed
Detector/physical-evidence layer (11 matched)	Attempted to run	None executed — no shell, no connectors, broker contract-search permission-denied. Ten look spurious on inspection; one (issuer supply calendar) was hand-read and produced the single largest correction in the file	Not run — stated as a gap, not as a negative result
Filing access	Both benches	SEC.gov returned 403; both benches read filings through a text-extraction proxy. Content was internally consistent and cross-checked against the investor-relations release, but we did not fetch from sec.gov directly	Method caveat, stated

Primary source of record for the segment figures: [SEC EDGAR — Redwire FY25 results, Exhibit 99.1](#) (CIK 1819810).

PROPOSED ENTRY BANDS

No entry. No order. No band armed. The courts say no-entry, so what follows are re-open conditions.

Current state: no position, no working orders, spot \$11.68.

Why no price band exists yet — stated plainly: neither bench computed a fair value. That is a genuine hole in the work. What we have instead is a multiple ladder derived from our own \$455M revenue estimate and the verified \$509.7M net cash. The prices below are arithmetic, **not a bench-ratified fair value**, and should be treated as watch levels rather than bids:

Multiple on our \$455M	Implied enterprise value	Plus net cash	Per share (250.0M sh)
5.30x (today)	\$2.41B	—	\$11.68

Multiple on our \$455M	Implied enterprise value	Plus net cash	Per share (250.0M sh)
4.0x	\$1.82B	\$2.33B	\$9.32
3.0x	\$1.37B	\$1.87B	\$7.50
Net cash alone	\$0	\$509.7M	\$2.04

Re-open trigger — fundamental (both conditions required): - Q3'26 space-segment revenue $\geq$ **\$58M** against the derived \$46,548k base. Note this is deliberately set well above the base: a print in the low \$50s would be a comparison artifact, not a step-up. And - Shares outstanding on the Q3'26 10-Q cover **up less than 2% quarter-over-quarter** from 249,992,609 — i.e. the equity program stayed dormant. - $\rightarrow$ Both true: **re-open at full court**, and a starter would be scoped at 0.25–0.50% of book *only after* average daily volume is actually measured.

Send-to-dead-file trigger: - Q3'26 space revenue $<$ **\$52M**, or shares outstanding **up more than 5%** quarter-over-quarter. Either one and the name goes to the tested-and-rejected file so we stop re-litigating it.

Re-open on price (watch only, no resting order): - **\$9.32** — 4.0x our revenue estimate; the level at which the multiple stops requiring a growth step-up that has not happened in six quarters. - **\$7.50** — 3.0x; where the drone backlog starts being available roughly for free. At this level we would want a full re-underwrite, not a reflexive bid. - We are **not** placing a resting good-till-cancelled order at either level. There is an unconfirmed earnings date roughly ten weeks out, and a resting bid into an earnings print is an accidental bet on low volatility that nobody voted for.

Immediate dilution alarm (converts the overhang from dormant to active): - Any prospectus supplement, 8-K, or share-count jump showing the June 2026 program drawn **below \$12** $\rightarrow$ that is an active kill, and the \$7.50/\$9.32 watch levels come down with it.

Reactivation-of-supply levels (relevant if the thesis starts working): - **\$14.59** — the average price at which the company sold out its entire prior \$350M program. Expect the seller back around here. - **\$16.05** — the last realized clearing price; issuance stopped when the stock fell through it.

Catalyst dates: - 2026-11-04 — Q3'26 results. UNCONFIRMED. Vendor-derived, with a conflicting 11/11 estimate and no company release naming a date. Historical pattern points to 11/04–11/07. - **~2026-11-06** — expected Q3'26 10-Q, which carries the segment table, segment backlog, and the cover-page share count. **This filing, not the press release, is the document our trigger actually depends on** — the press release may again omit the segment split, as the Q3'25 release did. - The prior dislocation fired 2026-08-20, *after* the 2026-08-05 print. This was never an event-driven setup, and there is nothing time-critical about it. Roughly 50 trading days to the next data point.

No short. Our bearish variant is real and mechanism-backed, but our rule excluding retail-momentum names from the short book bars it. We are recording this as a forced abstention, not as an absence of a view.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 12.0 (deck-provisional: if the June 2026 ATM is drawn at or under this level the dormant overhang becomes an active kill)
- filing watch: 10-Q until 2027-02-21 (deck-provisional: Q3'26 segment note: Space revenue vs derived \$46,548k base ($\geq$ \$58M reopens, $<$ \$52M kills) plus cover-pa)
- dated pack RDW|2026-11-04: RDW: Q3'26 earnings release — vendor-derived, conflicting 11/11 estimate, no company PR names a date (date confirmed=False)
- dated pack RDW|2026-11-06: RDW: expected Q3'26 10-Q filing (base rate: Q3'25 filed 2025-11-06, Q3'24 filed 2024-11-07) — carries the segment table the re-entry trigger

What remains unverified

- **The size of the Edge Autonomy earnout liability.** Enterprise value of \$2.41B and the 5.1x multiple are *floors*; both get worse by an unknown amount. This is the single largest open item.
 - **The next earnings date.** Vendor-derived, contradicted by a second vendor estimate, unnamed by the company.
 - **Whether the Q3'26 press release will even disclose the segment split.** The Q3'25 release did not. Our entire re-entry trigger may have to wait for the 10-Q.
 - **Space backlog composition.** We know Space backlog is \$321.9M of the \$542.1M total, but not its duration or its margin profile. Backlog converting at 2.3% segment margin is worth very little.
 - **The physical-evidence layer, entirely.** Eleven detectors matched; none ran. No facility, safety-record, or imagery check was performed on Edge Autonomy's production sites. We are reporting this as *not run*, not as *found nothing*.
 - **Direct SEC.gov access.** Both benches read filings through a text-extraction proxy after receiving 403 responses. Figures were cross-checked between the 10-Q, the 8-K exhibit, and the investor-relations release and were internally consistent — but we did not fetch from the source directly.
 - **Whether the 3% gap to consensus is real or a rounding artifact** of our own run-rate method. On a name this volatile, a 3% revenue difference is not by itself decision-relevant, and we should not pretend otherwise.
 - **Insider and institutional filings from July–August 2026** — nine Form 3/4 filings and two ownership filings, unread.
-

```

{"price_gates": [{"level": 9.32, "direction": "below", "basis": "4.0x our
own $455M FY26 revenue estimate plus $509.7M verified net cash over
249,992,609 shares – multiple stops requiring an unproven growth
step-up"}, {"level": 7.50, "direction": "below", "basis": "3.0x
$455M plus net cash – level at which the $220.2M drone backlog is
roughly free; triggers full re-underwrite, not a bid"}, {"level":
14.59, "direction": "above", "basis": "weighted-average price at
which the issuer sold out its entire prior $350M equity program –
expect the $350.4M live program to reactivate here"}, {"level":
16.05, "direction": "above", "basis": "last realized ATM clearing
price; issuance demonstrably stopped when the tape broke below it"},
{"level": 12.00, "direction": "below", "basis": "if the June 2026
ATM is drawn at or under this level the dormant overhang becomes an
active kill"}], "event_gates": [{"forms": ["10-Q"], "why": "Q3'26
segment note: Space revenue vs derived $46,548k base (>=$58M
reopens, <$52M kills) plus cover-page share count vs 249,992,609"},
{"forms": ["10-Q", "10-K"], "why": "segment backlog roll-forward
from Space $321.9M / Defense Tech $220.2M – book-to-bill is the
sensor that catches a drone-led re-rating we would otherwise miss"},
{"forms": ["424B5", "8-K", "S-3"], "why": "any draw on the $350.4M
unused June 2026 ATM capacity, especially below $12"}, {"forms":
["10-K"], "why": "EAC cumulative catch-up quantified by segment, and
the Level-3 fair value of the Edge Autonomy earnout that is
currently missing from enterprise value"}, {"forms": ["8-K"], "why":
"Item 2.02 Q3'26 results release and confirmation of the unconfirmed
earnings date"}, {"forms": ["4", "3", "SC 13G", "SC 13D"], "why":
"nine insider filings on 2026-07-14/16 and two ownership filings
were never opened by either bench"}], "catalyst_dates": [{"date":
"2026-11-04", "what": "Q3'26 earnings release – vendor-derived,
conflicting 11/11 estimate, no company PR names a date",
"confirmed": false}, {"date": "2026-11-06", "what": "expected Q3'26
10-Q filing (base rate: Q3'25 filed 2025-11-06, Q3'24 filed 2024-11-
07) – carries the segment table the re-entry trigger depends on",
"confirmed": false}], "immediate_entry": null}

```